GIANOTTI v KLAUSE, et al.

24CV47238

DEFENDANT'S MOTION TO COMPEL ARBITRATION

Before the Court is a motion to compel arbitration filed by Defendants Downey Management Group, Inc. ("Downey"), Airola Road Vineyards, LLC ("Airola"), George Klause and Birgit Klause (collectively "Defendants Klause").

Initially, the Court notes defendant's Notice of Motion fails to include the language mandated by the Court's Local Rule 3.3.7 concerning the tentative ruling system in place since 1/1/18; lack of the requisite notice language provides a basis for the Court to deny any motion. However, in the interests of justice and judicial economy, the Court waives the shortcoming with regard to the instant motion and provides the following substantive Ruling.

I. Factual and Procedural Background

Plaintiff alleges that Defendants Downey and Airola are joint employers with a unity in interest and ownership with Downey owning Airola. (Complaint ¶ 22.) George Klause is listed as the agent for both businesses. (*Ibid.*). Defendants own an 88-acre estate that operates as a vineyard and wedding venue. (*Id.* ¶ 23.) Defendants Klause also own two residential properties on the estate, both of which operate as Airbnb rental properties. (*Ibid*.) Apparently, the entire estate is owned and operated by Defendants Klause. (*Ibid*.)

On or about December 1, 2022, Defendants hired Plaintiff on a full-time basis as a caretaker at a pay rate of approximately $800.00 every two weeks, alleged to be significantly below the California minimum wage of $15.00 per hour. (Complaint ¶ 24.) Plaintiff was required to live in an on-site residential unit as a condition of employment. (*Id*. ¶ 25.) As such, Plaintiff was treated not as a tenant but as a licensee. (*Ibid*.) Plaintiff's job duties and responsibilities included, but were not limited to, cleaning the rental properties, fountains, and pools, mowing the grass, nurturing plants and flowers, and pruning trees and grapes. (*Id*. ¶ 26.)

Plaintiff alleges a number of wage and hour violations, and also alleges that Defendants Klause failed to secure the necessary permits to make her living space habitable. (Complaint ¶ 33.) Plaintiff subsequently was allowed to live in one of the Airbnb units, though was not allowed to unpack her belongings and required to accommodate Defendants Klause's various guests (*Id*. ¶¶ 34, 35.) Plaintiff also was required to pay rent for the Airbnb unit. (*Id*. ¶ 37.) Allegedly, Defendants Klause also forced Plaintiff to participate in religious proceedings. (*Id*. ¶ ¶ 42-46.) After Plaintiff complained about the various wage and hour violations, her living conditions, and other matters, she had her hours significantly reduced and then she was constructively terminated. (*Id*. ¶¶ 50-52.)

On October 18, 2024, Defendants moved for an order compelling the matter to arbitration pursuant to an alleged arbitration agreement ("Agreement") between Plaintiff and Downey Management. Plaintiff opposes the motion.

II. Procedure and Burden of Proof on Petition to Compel Arbitration

In determining the enforceability of an arbitration agreement, the court considers "two 'gateway issues' of arbitrability: (1) whether there was an agreement to arbitrate between the parties, and (2) whether the agreement covered the dispute at issue." (*Omar v. Ralphs Grocery Co.* (2004) 118 Cal.App.4th 955, 961.) The trial court must first determine whether an "agreement to arbitrate the controversy exists." (Code Civ. Proc., 1281.2.) "Because the existence of the agreement is a statutory prerequisite to granting the petition, the petitioner bears the burden of proving its existence by a preponderance of the evidence." (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413.) The party seeking arbitration can meet its initial burden by attaching to the petition a copy of the arbitration agreement purporting to bear the respondent's signature. (*Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) Alternatively, the moving party can meet its initial burden by setting forth the agreement's provisions in the motion. (Cal. Rules of Court, rule 3.1330.)

It then becomes Plaintiff's burden, in opposing the motion, to prove by a preponderance of the evidence any fact necessary to her opposition. (*Espejo*, *supra* 246 Cal.App.4th at 1057.) "Code of Civil Procedure section 1281.2 requires a trial court to grant a petition to compel arbitration 'if the court determines that an agreement to arbitrate the controversy exists.'" (*Avery v. Integrated Healthcare Holdings, Inc*. (2013) 218 Cal.App.4th 50, 59, quoting Code Civ. Proc. § 1281.2.)

Generally, on a petition to compel arbitration, the court must grant the petition unless it finds either (1) no written agreement to arbitrate exists; (2) the right to compel arbitration has been waived; (3) grounds exist for revocation of the agreement; or (4) litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (*Desert Reg'l Med. Ctr. v. Miller*, (2022), 87 Cal.App.5th 295, 308.)

III. Legal Analysis

Defendants have met their initial burden of showing the existence of the Agreement that appears to have been signed by Plaintiff on November 19, 2022. (Declaration of George Klause ("Klause Decl.") ¶ ¶ 15, 16, Ex. A.) (*Espejo v. S.Cal. Permanente Med. Grp*. (2016) 246 Cal.App.4th 1047, 1060 [party moving to compel arbitration may meet their initial burden to show an agreement to arbitrate by attaching a copy of the agreement purportedly bearing the opposing party's signature].)

However, Plaintiff disputes that the signature on the agreement is hers. She avers that she did not see the arbitration agreement before litigation, she did not sign the arbitration agreement, and that she could not have signed it on the date alleged because she was not hired until December 1, 2022. (Declaration of Kristin Gianotti ("Gionatti Decl.") ¶ ¶ 4,5,8.) Because Plaintiff asserts under oath that she did not see or sign the arbitration agreement she has successfully carried her burden of producing evidence that challenges the authenticity of the agreement. (*Gamboa v. Ne. Cmty. Clinic*, (2021) 72 Cal.App.5th 158, 165 [declaring under penalty of perjury that the opposing party never saw the arbitration agreement or signed it is sufficient evidence to challenge the authenticity of the agreement].)

Accordingly, the burden returns to Defendants to show, by a preponderance of the evidence, that the agreement is valid. (*Gamboa*, *supra* 72 Cal.App.5th at 165.) In support of this, Defendant submits Mr. Klause's declaration in which he states that he was the person who onboarded Plaintiff and that he would have given her the Agreement just as he does with all new hires. (Klause Decl. ¶ ¶ 14-15.) He then makes the conclusory statement that Plaintiff signed the Agreement. (*Id*. ¶ 15.) While Klause states all of this as fact, he does not provide any preliminary facts to show that he has the personal knowledge to affirmatively make the statement that Plaintiff signed the Agreement. (Evid Code. 403(a)(2), 702(a).) Klause does not aver that he remembers anything about his actual interaction with Plaintiff. He does not aver that he personally provided her with the Agreement nor that he saw her review said Agreement. Rather, he states that he "would" have done so because that was his typical practice. (Klause Decl.

¶ 16.) More importantly, Klause does not say that he witnessed the Plaintiff sign the Agreement. His conclusory statement that she signed it is insufficient to prove, by a preponderance of the evidence, that Plaintiff in fact signed the Agreement when she has sworn that she did not. (*See Gamboa*, *supra* 72 Cal.App.5th 169, fn. 4 [where human resources declarant did not aver that she personally saw the employee sign the arbitration agreement, a conclusory declaration that the employee signed it was insufficient to show, by a preponderance of the evidence, that the Agreement was valid].) Alternatively, Defendants could have presented expert evidence establishing the signature was in fact plaintiff's signature.

As such, Defendants have not carried their burden to show, by a preponderance of the evidence, that the Plaintiff's signature is authentic.

Accordingly, Defendants' motion to compel arbitration is **DENIED**.

The Clerk shall provide notice of the Ruling forthwith. Defendants to submit a formal Order pursuant to CRC 1.1312 in conformity with this Ruling.

MOSS v IRONSTONE AMPITHEATRE, et al

24CV47251

DEFENDANT RICHTER'S MOTION TO SET ASIDE DEFAULT

This personal injury case arises out of Plaintiff Sharon Moss's alleged trip and fall at the Ironstone Amphitheatre on August 18, 2022. Richter Entertainment Group ("REG") is a named defendant. Now before the Court is Richter's motion to vacate default.

Code of Civil Procedure section 473 authorizes the Court to set aside a default and grant leave to defend the action on grounds of "mistake, inadvertence, surprise or excusable neglect." (Code Civ. Proc., § 473(b).) The motion for discretionary relief must be filed within six months after the clerk's entry of default. Here the original motion was filed on October 17, 2024, and the amended motion on November 14, 2024. The motion is timely.

On April 8, 2024, Larry Richter, President of REG, was personally served at his home in Ft. Lauderdale, Florida. (Declaration of Larry Richter ("Richter Dec."), ¶7.) Mr. Richter forwarded the Summons and Complaint to his insurance broker the following morning. (Richter Dec., ¶8.) As part of her custom and practice, insurance broker Ms. LaFever forwarded the Summons and Complaint she received to his insurer that same day of April 9, 2024. (LaFever Dec. ¶9.)

The insurer confirmed receipt of the Summons and Complaint and assigned it to a claims adjuster. (Lefever Decl. ¶ 3.) However, the claim was subsequently transferred to another claims adjuster, who was not aware that the matter had not been accepted by a defense firm or counsel. (Declaration of Carol Driscoll ("Driscoll Decl.") ¶ 12.) The insurance carrier had not received any information to reflect that its insured was in jeopardy of having a default entered. (*Id*. ¶ 13.) The insurer was only aware that the matter had not been assigned to defense counsel when it became aware of the entry of default on August 28, 2024, and then sent an immediate request for representation to Defendants' current counsel. *(Id.* ¶ ¶*13-14.)* Mr. Richter was not advised that his insurance carrier failed to retain counsel or that a default had been entered against REG until counsel so advised him. (Richter Decl. ¶10.)

Plaintiff opposes the motion, arguing that there are no grounds to grant the Defendant's motion because Defendant and its insurer had notice of the lawsuit. The Court disagrees. Defendant forwarded the complaint and related papers to his insurance broker within twenty-four hours of being served as he had done in previous litigation. His insurance broker followed her customary care and practice and forwarded the summons and complaint to the insurer, who confirmed receipt of the same. While a claims adjuster at the insurance company was waiting on a response from a law firm as